TRACECLAUSE AI (SCANSHIELD AI V2) TERMS OF SERVICE

Effective Date: September 4, 2026

Last Updated: September 4, 2026

READ THIS AGREEMENT CAREFULLY BEFORE ACCESSING OR USING THE SERVICES.

These Terms of Service ("**Terms**", "**Agreement**") constitute a legally binding agreement between **TraceClause AI** hereinafter referred to as ("**TraceClause AI**", "**Company**", "**we**", "**us**", or "**our**") and the individual or legal entity ("**Customer**", "**User**", "**you**", or "**your**") accessing, registering for, or using the TraceClause AI website, application programming interfaces (APIs), software applications, web dashboard hosted at `https://traceclause.vercel.app`, and related contract auditing services (collectively, the "**Services**").

By clicking "I Agree", registering an account, uploading contract documents, or otherwise accessing or utilizing the Services, you acknowledge that you have read, understood, and agreed to be bound by these Terms and our **Privacy Policy**, which is incorporated herein by reference. If you are entering into this Agreement on behalf of a company, organization, or other legal entity, you represent and warrant that you have full legal authority to bind such entity to these Terms. **IF YOU DO NOT AGREE TO ALL OF THESE TERMS, DO NOT ACCESS OR USE THE SERVICES.**

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1. INTRODUCTION & ACCEPTANCE OF TERMS

1.1 Scope of Services

TraceClause AI provides an enterprise-grade legal contract audit platform powered by multi-LLM artificial intelligence architectures (including Anthropic Claude 3.5 Sonnet, OpenAI GPT-4o, and Google Gemini 1.5 Pro), vector-based retrieval-augmented generation (RAG) using Supabase `pgvector`, and automated Microsoft Word (`.docx`) redline document generation engines. The Services allow users to parse legal agreements, detect compliance risks, review counter-language recommendations, engage in interactive contract Q&A, and collaborate within multi-seat workspaces.

1.2 Eligibility & Age Requirements

You must be at least eighteen (18) years of age, or the legal age of majority in your jurisdiction of residence, whichever is greater, to register an account or use the Services. By accessing the Services, you represent and warrant that you meet these age requirements, possess the legal capacity to enter into binding contracts, and are not barred from receiving services under the laws of India, the United States, or any other applicable jurisdiction.

1.3 Electronic Contracting & Signatures

You consent to receive communications, disclosures, notices, and agreements from us electronically via email or through postings on the Services. You agree that all electronic agreements, notices, disclosures, and

communications satisfy any legal requirement that such communications be in writing.

1.4 Modification of Terms

We reserve the right, at our sole discretion, to modify, update, or replace these Terms at any time. If a revision materially alters your rights or obligations, we will notify you via email to the address associated with your account or through a prominent notice on the platform at least thirty (30) days prior to the effective date of the changes. Your continued use of the Services following the posting or notification of modified Terms constitutes your unconditional acceptance of the revised Terms.

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2. USER ACCOUNTS & SUBSCRIPTIONS

2.1 Account Registration & Integrity

To access certain features of the Services—including interactive RAG contract chat, native `.docx` redline exports, and multi-seat workspace management—you must register for an account. When creating your account, you agree to:

- Provide accurate, current, complete, and verifiable registration details (including a valid business email address);
- Maintain and promptly update your account information to keep it accurate and complete;
- Keep your account credentials, passwords, and authentication tokens confidential and secure;
- Accept sole responsibility for all activities, actions, and uploads conducted under your account credentials.

2.2 Workspaces & Workspace Seats

Subscribers to our **Team Plan** are granted multi-seat workspace capabilities. Workspace owners may invite authorized team members ("**Workspace Members**") to access shared contract repositories, audit reports, and RAG search indices. The Workspace Owner remains fully liable for all actions, omissions, document uploads, and compliance breaches by any Workspace Member added to their workspace.

2.3 Subscription Tiers & Payment Processing

TraceClause AI offers paid subscription plans (including **Solo Plan** at $79 USD/month or ■7,499 INR/month, and **Team Plan** at $299 USD/month or ■27,999 INR/month) as well as a hard-capped **Free Trial** (limited to 3 total lifetime contract audits).

- **Billing Gateways:** Payment processing is conducted securely through our authorized PCI-DSS Level 1 compliant third-party payment gateways: **Stripe, Inc.** (for USD / International transactions) and **Razorpay Software Private Limited** (for INR / India domestic transactions).
- **No Direct Storage:** TraceClause AI does not store, collect, or process raw credit card numbers, debit card numbers, CVVs, or banking credentials on its servers.
- **Recurring Subscriptions:** Paid subscriptions automatically renew on a recurring monthly or annual basis unless cancelled prior to the renewal date via your account settings.

2.4 Account Termination & Suspension

We reserve the right to suspend, disable, or terminate your account or access to the Services immediately, without prior notice or liability, if:

- You breach any provision of these Terms or any operational policies;
- Your payment fails, is charged back, or falls into arrears;
- We detect fraudulent, abusive, automated, or illegal activity originating from your account;
- Required by law enforcement or judicial order.

You may terminate your account at any time by navigating to your account settings or contacting support at `support@traceclause.ai`. Upon termination, your right to access the Services will immediately cease, and your data will be handled in accordance with our **Privacy Policy**.

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3. ACCEPTABLE USE & PROHIBITED CONDUCT

3.1 Acceptable Use Standard

You agree to use the Services solely for lawful internal business or professional contract auditing purposes in compliance with all applicable local, state, national, and international laws, regulations, and privacy rules.

3.2 Prohibited Conduct & Platform Restrictions

You expressly covenant and agree that you shall NOT, directly or indirectly:

1. **Reverse Engineering & Extraction:** Decompile, reverse engineer, disassemble, decipher, translate, or otherwise attempt to derive or reconstruct the source code, underlying algorithms, system prompt structures, database schemas, or proprietary AI model weights of TraceClause AI;
2. **Automated Scraping & Bot Usage:** Use automated scrapers, bots, web crawlers, data mining tools, scripts, or unauthorized API automated wrappers to access, extract, or index data or output from the Services;
3. **API & System Abuse:** Circumvent, bypass, or defeat feature-gating middleware (`require_feature`), usage quotas, rate limits, access controls, or vector embedding security boundaries;
4. **Harmful & Unlawful Content:** Upload, submit, transmit, or process any document, contract, prompt, or content that:

- Contains malware, viruses, trojans, ransomware, or malicious code;
- Infringes any third party's patent, copyright, trademark, trade secret, or intellectual property rights;
- Contains illegal, fraudulent, defamatory, harassing, sexually explicit, hate-speech, or discriminatory material;
- Violates national security, export controls, or sanctions laws;

5. **AI Model Competitive Use:** Use output or data derived from the Services to train, fine-tune, evaluate, benchmark, or develop competing artificial intelligence models, machine learning algorithms, or legal tech software applications;
6. **Sublicensing & Reselling:** Sell, resell, rent, lease, sublicense, distribute, or operate a service bureau offering access to TraceClause AI without prior written consent from the Company.

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4. AI OUTPUT & INTELLECTUAL PROPERTY RIGHTS

4.1 Ownership of User Inputs

As between you and TraceClause AI, you retain 100% ownership, title, and all intellectual property rights in and to all contract files, PDF documents, Microsoft Word files, text inputs, instructions, and prompts uploaded or submitted by you to the Services ("**User Content**" or "**Prompts**"). You grant TraceClause AI a non-exclusive, worldwide, royalty-free, limited license to access, store, process, parse, reformat, and generate vector embeddings for your User Content solely to the extent necessary to provide, maintain, and secure the Services for you.

4.2 Ownership of AI Outputs

Subject to your compliance with these Terms, TraceClause AI assigns to you all of its right, title, and interest (if any) in and to the specific output, risk score analyses, counter-language recommendations, summaries, RAG chat responses, and native `.docx` redline reports generated by the Services in response to your User Content ("**AI Output**").

4.3 Non-Exclusive Nature of AI Output

You expressly acknowledge and agree that:

- Due to the probabilistic nature of machine learning and artificial intelligence, AI Output generated for you may not be unique across different users;
- The Services may generate identical or substantially similar risk analyses, clause evaluations, or counter-language suggestions for other users who analyze standard, boilerplate, or commercially common contract clauses;
- You acquire no exclusive rights, trademarks, or proprietary monopolies in generic legal phrasing, standard contract clauses, or public domain legal templates included within any AI Output.

4.4 Proprietary Rights in the Services

TraceClause AI and its licensors retain all rights, title, and interest (including all patents, trademarks, service marks, trade secrets, copyrights, software code, UI designs, vector database architectures, and algorithm workflows) in and to the Services, platform, and underlying technologies. The name "TraceClause AI", "ScanShield AI", the logo, graphics, and visual elements are trademarks of the Company, and no right or license is granted to you to use them without express prior written consent.

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5. AI RELIABILITY & ACCURACY DISCLAIMER (CRUCIAL)

5.1 NO LEGAL ADVICE / NO ATTORNEY-CLIENT RELATIONSHIP

TRACECLAUSE AI IS AN AUTOMATED SOFTWARE-AS-A-SERVICE (SaaS) AUDIT TOOL AND DOES NOT PROVIDE LEGAL ADVICE, LEGAL OPINIONS, OR FORMAL LEGAL REPRESENTATION. USE OF THE SERVICES DOES NOT CREATE AN ATTORNEY-CLIENT RELATIONSHIP BETWEEN YOU AND TRACECLAUSE AI.

The analysis, risk scores, redlines, clause explanations, and interactive RAG chat outputs provided by the Services are intended solely for informational, educational, and workflow efficiency purposes for legal professionals, contract managers, and businesses.

5.2 AI HALLUCINATIONS, BIAS, AND INACCURACY DISCLAIMER

YOU EXPRESSLY ACKNOWLEDGE AND AGREE THAT:

- Artificial intelligence models, Large Language Models (LLMs), and retrieval-augmented generation systems may produce incorrect, incomplete, misleading, biased, or outdated legal interpretations, factual assertions, or legal citations (commonly referred to as "**AI Hallucinations**");
- The Services may fail to identify specific legal risks, regulatory non-compliance issues, ambiguous clauses, or enforceability flaws within uploaded agreements;
- **HUMAN-IN-THE-LOOP REQUIREMENT:** You must independently review, verify, validate, and evaluate all AI Output, redlines, and recommendations with a licensed, qualified attorney in your jurisdiction before executing, relying upon, or taking legal action regarding any contract or document.

5.3 "AS IS" AND "AS AVAILABLE" WARRANTY DISCLAIMER

TO THE MAXIMUM EXTENT PERMITTED UNDER APPLICABLE LAW, THE SERVICES, PLATFORM, AND ALL AI OUTPUTS ARE PROVIDED ON AN "AS IS" AND "AS AVAILABLE" BASIS, WITH ALL FAULTS AND WITHOUT WARRANTIES OF ANY KIND.

TRACECLAUSE AI AND ITS AFFILIATES, OFFICERS, DIRECTORS, EMPLOYEES, SUPPLIERS, AND LICENSORS EXPRESSLY DISCLAIM ALL WARRANTIES, WHETHER EXPRESS, IMPLIED, STATUTORY, OR OTHERWISE, INCLUDING BUT NOT LIMITED TO ANY IMPLIED WARRANTIES OF MERCHANTABILITY, FITNESS FOR A PARTICULAR PURPOSE, TITLE, ACCURACY, NON-INFRINGEMENT, AND ANY WARRANTIES ARISING OUT OF COURSE OF DEALING, USAGE, OR TRADE PRACTICE. WE DO NOT WARRANT THAT THE SERVICES WILL BE UNINTERRUPTED, TIMELY, SECURE, ERROR-FREE, FREE OF MALWARE, OR THAT ALL CONTRACT RISKS WILL BE ACCURATELY DETECTED.

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6. LIMITATION OF LIABILITY & INDEMNIFICATION

6.1 EXCLUSION OF INDIRECT AND CONSEQUENTIAL DAMAGES

TO THE MAXIMUM EXTENT PERMITTED BY APPLICABLE LAW, IN NO EVENT SHALL TRACECLAUSE AI, ITS AFFILIATES, OFFICERS, DIRECTORS, EMPLOYEES, AGENTS, SUPPLIERS, OR LICENSORS BE LIABLE TO YOU OR ANY THIRD PARTY FOR ANY INDIRECT, INCIDENTAL, SPECIAL, CONSEQUENTIAL, PUNITIVE, OR EXEMPLARY DAMAGES WHATSOEVER, INCLUDING BUT NOT LIMITED TO LOSS OF PROFITS, LOSS OF REVENUE, LOSS OF BUSINESS OPPORTUNITY, LOSS OF DATA, GOODWILL, CONTRACT FAILURE, LEGAL DISPUTES ARISING FROM AUDITED CONTRACTS, OR BUSINESS INTERRUPTION, REGARDLESS OF THE THEORY OF LIABILITY (CONTRACT, TORT, STRICT LIABILITY, OR OTHERWISE), EVEN IF ADVISED OF THE POSSIBILITY OF SUCH DAMAGES.

6.2 CAP ON TOTAL DIRECT DAMAGES

IN NO EVENT SHALL THE TOTAL AGGREGATE LIABILITY OF TRACECLAUSE AI AND ITS AFFILIATES ARISING OUT OF OR RELATING TO THIS AGREEMENT, THE SERVICES, OR THE AI OUTPUT EXCEED THE TOTAL AMOUNT ACTUALLY PAID BY YOU TO TRACECLAUSE AI FOR THE SERVICES IN THE TWELVE (12) MONTH PERIOD IMMEDIATELY PRECEDING THE EVENT GIVING RISE TO THE CLAIM, OR ONE HUNDRED UNITED STATES DOLLARS ($100 USD), WHICHEVER IS GREATER.

6.3 Customer Indemnification

You agree to defend, indemnify, and hold harmless TraceClause AI, its parent companies, subsidiaries, affiliates, officers, directors, employees, legal counsel, and agents from and against any and all third-party claims, demands, liabilities, damages, losses, costs, expenses, and reasonable attorneys' fees arising out of or in connection with:

- Your access to, use of, or reliance upon the Services or AI Output;
- Any User Content, contracts, or prompts uploaded by you or your Workspace Members;
- Your breach of these Terms, applicable privacy laws, or third-party intellectual property rights;
- Legal disputes, contract breaches, or losses occurring between you and your contractual counter-parties regarding agreements processed via the Services.

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7. GOVERNING LAW & DISPUTE RESOLUTION

7.1 Governing Law

These Terms and any dispute, controversy, or claim arising out of or in connection with them or their subject matter (including non-contractual disputes) shall be governed by, construed, and enforced in accordance with the substantive laws of the **Republic of India**, without giving effect to any choice or conflict of law provision or rule.

7.2 Mandatory Binding Individual Arbitration

Any dispute, claim, controversy, or disagreement arising out of or relating to this Agreement, including the breach, termination, enforcement, interpretation, or validity thereof, or the use of the Services (collectively, "**Disputes**"), shall be resolved through final and binding individual arbitration in accordance with the provisions of the **Indian Arbitration and Conciliation Act, 1996** (as amended).

- **Arbitration Seat & Venue:** The seat and venue of arbitration shall be New Delhi, India.
- **Language:** The language of arbitration proceedings shall be English.
- **Arbitrator Selection:** The arbitration shall be conducted by a sole arbitrator mutually appointed by both parties, or failing agreement, appointed by the competent court in New Delhi.
- **Enforceability:** The arbitral award rendered shall be final, binding, and enforceable in any court of competent jurisdiction.

7.3 Waiver of Class or Representative Actions

YOU AND TRACECLAUSE AI AGREE THAT EACH PARTY MAY BRING CLAIMS AGAINST THE OTHER ONLY IN AN INDIVIDUAL CAPACITY, AND NOT AS A PLAINTIFF OR CLASS MEMBER IN ANY PURPORTED CLASS

ACTION, COLLECTIVE ACTION, CONSOLIDATED PROCEEDING, OR REPRESENTATIVE PROCEEDING.

7.4 Injunctive Relief

Notwithstanding Section 7.2, either party may apply to the courts located in **New Delhi, India** for interim or preliminary injunctive relief to prevent actual or threatened infringement, unauthorized disclosure, or misappropriation of intellectual property rights, trade secrets, or confidential information.

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8. GENERAL PROVISIONS

8.1 Entire Agreement

These Terms, together with the **Privacy Policy**, constitute the entire and exclusive agreement between you and TraceClause AI regarding the Services, superseding all prior or contemporaneous oral or written agreements, proposals, communications, or understandings.

8.2 Severability & Waiver

If any provision of these Terms is found by an arbitrator or court of competent jurisdiction to be invalid, illegal, or unenforceable, such provision shall be enforced to the maximum extent permissible, and the remaining provisions shall remain in full force and effect. No failure or delay by TraceClause AI in exercising any right or remedy under these Terms shall operate as a waiver thereof.

8.3 Contact & Legal Notice

If you have any questions, concerns, or legal notices regarding these Terms, please contact us at:

TraceClause AI Legal Counsel & Compliance Department

Email: `legal@traceclause.ai`

Support Email: `support@traceclause.ai`

Jurisdiction: Republic of India